

Global Data Watch: Asia

EMAX resilience has a trifecta of underpinnings

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In contrast to downside risks in China, there are upside risks to growth in the rest of Asia. Three factors have combined to underpin this. First, EMAX has proved relatively resilient and resourceful in the face of the energy shock. Daily tanker volumes of energy imports have improved substantially in recent weeks and are almost back to normal levels, as the region aggressively scouts for energy from other locations. Consequently, the feared non-linearities to growth seem to have been avoided for now. Second, tech continues to boom, visible both in the April IP prints as well as in strong May Korea tech exports this week, though growing price effects further buoy the nominal prints. Third, fiscal policy is active in the region to cushion the energy shock. Korea already saw a large supplementary budget after the oil shock and strong tech creates fiscal space that could potentially be used to provide more buffers. In India, the government has borne a significant fraction of the negative terms of trade shock, with retail prices increasingly more modestly. In May, Thailand announced a hefty fiscal package to the tune of 2.1% of GDP which should help lift growth in 2H26. Finally, in the Philippines, we expect the government to enact a supplementary budget worth 0.7% of GDP in 2H26, which should help offset the impact of monetary policy tightening. Together, these forces have contributed to resilience reflected in the May PMIs, with the EMAX output index rebounding after slipping in March and April, though it's still not back at pre-conflict levels.

RBI bucks the regional hawkish tilt

With growth holding up, several central banks have turned their attention to inflation and become progressively hawkish. The BSP and Bank of Indonesia have already hiked in recent weeks and we expect more to come. Last week, the Bank of Korea turned hawkish and we now expect the BoK to hike four times over the next year. The one central bank where we have been consistently more dovish than the market has been the RBI. The RBI held policy rates this week, as we had expected, but bucking market pricing that had built in a 60% chance of a 25 bps hike. Instead, the RBI delivered a booster shot of regulatory measures to attract capital inflows and shore up the Balance of Payments, in the wake of sustained pressures on the currency. In the event, it underscored the principle of separability under India's Inflation Targeting framework, wherein rates and liquidity are used to address inflation while other instruments (sterilized FX intervention and regulatory policy) are used to combat external sector pressures.

China: 2Q risks skew downward, but with caveats

While PMI signals are mixed, we see some downside risks to 2Q GDP growth. Against the backdrop of weak April activity, latest NBS and RatingDog PMI readings offered a mixed bag: while the headline PMIs weakened, output and RatingDog new orders PMI remained in expansionary territory. Furthermore, May housing saw an improvement in secondary home sales, which may provide some support for consumer sentiment. Yet, hard data in May and June would need to bounce back discernibly to support our 2Q GDP forecast.

But even as there are downside risks to 2Q, caveats exist. First, this comes on the back of a very strong 1Q such that 1H growth would still average 5% or more.

See page 26 for analyst certification and important disclosures.

Emerging Markets Asia, Economic and Policy Research

Sajjid Z Chinoy

(91-22) 6157-3386
sajjid.z.chinoy@jpmorgan.com
JPMorgan Chase Bank, N.A., Mumbai Branch

Anusha Mital

(91-22) 6157-4113
anusha.mital@jpmchase.com
J.P. Morgan India Private Limited

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Second, some of the downside in 2Q likely can be attributed to fiscal policy being less front-loaded than was envisaged. The implication is that there will be less payback in 2H, and weakness extending to May activity would likely prompt firmer fiscal actions in June and onwards, especially if 2Q GDP prints below the full year growth target range of 4.5-5%. In addition, Chinese exports stand to gain from rising global IP and PMIs backed by a strong tech upswing. All this would be supportive of 2H growth. While domestic consumption remains tepid, its drag is not expected to become more significant in 2H. Upcoming trade and activity data will be key to assess the near-term prospects.

Table 1: EM Asia data release

Date	Market	Data	Period	Unit	JPM	Consensus	Previous
Mon, 08-Jun							
Tue, 09-Jun	CN	Trade balance	May	US\$bn	92.0	86.2	84.8
	CN	Exports	May	%oya	12.1	15	14.1
	CN	Imports	May	%oya	22.9	28	25.3
	KR	GDP prelim	1Q	%oya	3.6	3.6	1.6
	TW	Trade balance	May	US\$bn	17.2	18.9	14.4
	TW	Exports	May	%oya	40.3	42.8	39.0
	TW	Imports	May	%oya	41.6	40.3	29.2
Wed, 10-Jun	CN	PPI	May	%oya	3.8	3.8	2.8
	CN	CPI	May	%oya	1.3	1.4	1.2
Thu, 11-Jun	KR	Unemployment rate	May	%, SA	2.7	2.8	2.8
Fri, 12-Jun	IN	CPI	May	%oya	4.0	4.0	3.5
During the week							
Sun, 07-Jun	CN	FX reserves	May	US\$bn	3405	3400	3411
09-15, Jun	CN	New loan creation	May	RMB bn	605	-	-10
		TSF flow	May	%oya	7.7	-	7.8
		M2	May	%oya	8.7	8.6	8.6

Source: Bloomberg Finance L.P. and J.P. Morgan forecasts

08 June 2026

Regional Economic Outlook in Summary

	2021 Nominal GDP, US\$			Real GDP			Consumer prices		
	Total	% of	per	% year-on-year			% year-on-year		
	billion	region	capita	2024	2025	2026	2024	2025	2026
Japan	4,935	n.a.	40,114	-0.2	1.1	0.7	2.7	3.2	2.0
Australia	1,634	n.a.	64,327	1.0	2.0	2.0	3.2	2.8	4.6
New Zealand	247	n.a.	48,861	-0.3	0.2	1.9	2.9	2.8	3.7
Emerging Asia	26,963	100.0	8,048	4.9	5.1	4.9	1.2	0.6	1.9
ex China and India	6,175	22.9	10,794	3.9	3.9	4.5	2.1	1.6	2.9
China	17,706	65.7	12,572	4.9	5.0	4.7	0.2	0.0	1.0
Hong Kong SAR, China	368	1.4	49,849	2.6	3.6	3.4	1.7	1.4	1.6
Taiwan, China	777	2.9	33,071	5.3	8.8	9.8	2.2	1.7	2.0
Korea	1,809	6.7	35,126	2.0	1.0	3.0	2.3	2.1	2.9
India	3,082	11.4	2,250	7.1	7.7	6.5	4.9	2.1	5.0
Indonesia	1,187	4.4	4,358	5.0	5.1	4.7	2.3	1.9	3.5
Malaysia	373	1.4	11,476	5.1	5.2	4.6	1.8	1.4	1.9
Philippines	393	1.5	3,576	5.7	4.4	4.0	3.2	1.6	6.8
Singapore	397	1.5	79,601	5.3	5.0	4.3	2.4	0.9	2.1
Thailand	506	1.9	7,237	2.9	2.4	2.1	0.4	-0.1	2.4
Vietnam	365	1.4	3,757	7.1	7.9	7.3	3.6	3.3	5.3
	Current account balance			Current account			Foreign reserves		
	US\$ billion			% of GDP			US\$ billion		
	2024	2025	2026	2024	2025	2026	2024	2025	2026
Japan	n.a.	n.a.	n.a.	4.6	4.8	3.9	n.a.	n.a.	n.a.
Australia	n.a.	n.a.	n.a.	-2.2	-2.7	-2.7	n.a.	n.a.	n.a.
New Zealand	n.a.	n.a.	n.a.	-4.8	-3.7	-4.2	n.a.	n.a.	n.a.
Emerging Asia	734.7	1087.9	1195.5	2.5	3.5	3.8	n.a.	n.a.	n.a.
ex China and India	385.9	456.8	600.5	5.4	6.1	8.3	n.a.	n.a.	n.a.
China	423.9	747.9	754.1	2.3	3.8	3.6	n.a.	n.a.	n.a.
Hong Kong SAR, China	52.5	54.7	47.3	12.9	12.8	10.5	421	426	428
Taiwan, China	112.7	139.3	135.2	14.1	15.1	13.6	578	585	592
Korea	99.0	122.7	300.8	5.3	6.6	15.2	409	422	426
India	-75.2	-116.8	-159.1	-2.0	-3.0	-3.9	n.a.	n.a.	n.a.
Indonesia	-8.7	-10.2	-15.7	-0.6	-0.8	-1.1	149	145	140
Malaysia	7.2	9.7	14.9	1.7	2.1	2.8	124	127	130
Philippines	-17.5	-16.3	-21.9	-3.8	-3.3	-4.4	95	91	74
Singapore	98.5	100.9	128.0	17.2	16.7	19.9	n.a.	n.a.	n.a.
Thailand	11.6	22.8	2.3	2.2	3.9	0.4	217	249	270
Vietnam	30.5	33.1	9.7	6.8	6.6	1.8	83	87	82
	External debt			Short-term foreign debt			Government balance		
	% of GDP, end of period			US\$ billion, end of period			% of GDP, end of period		
	2024	2025	2026	2024	2025	2026	2024	2025	2026
Japan	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-6.1	-6.7	-6.9
Australia	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	0.0	-0.4	-0.6
New Zealand	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-2.6	-2.4	-2.7
China	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-3.0	-4.0	-4.0
Hong Kong SAR, China	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-1.8	0.1	0.6
Taiwan, China	26.2	23.5	22.5	207	213	221	-0.6	-1.0	-1.6
Korea	35.6	37.9	39.4	146	178	178	-1.7	-1.8	-0.5
India	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-8.3	-7.9	-7.7
Indonesia	27.4	25.3	23.6	43	43	43	-2.7	-2.9	-3.0
Malaysia	50.6	47.3	44.0	119	129	139	-4.3	-3.8	-3.5
Philippines	28.5	30.6	33.6	21	22	27	-5.7	-4.8	-6.0
Singapore	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	0.4	0.4	0.2
Thailand	37.0	34.1	32.1	86	75	75	-4.0	-4.7	-4.5
Vietnam	46.1	47.1	48.1	n.a.	n.a.	n.a.	-3.6	-3.8	-4.0

Source: National statistics authorities and J.P. Morgan

Key economic statistics

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26
Real GDP, %ch over 1 quarter, saar								
Japan	1.8	1.4	-2.5	0.8	2.1	0.2	1.0	0.8
Australia	1.0	3.9	1.5	3.5	1.1	1.6	1.5	1.9
New Zealand	4.5	-3.4	3.5	1.0	3.3	1.2	3.4	1.2
Emerging Asia	4.6	5.0	4.4	5.8	6.7	3.8	3.3	3.5
ex China and India	2.5	5.7	4.9	6.7	5.9	2.3	2.9	3.0
China	4.9	4.2	3.7	5.2	6.7	4.0	3.2	3.2
Hong Kong SAR, China	4.6	3.3	3.8	4.3	12.2	3.0	2.8	2.8
Taiwan, China	3.7	16.3	6.7	28.7	6.9	2.2	3.6	3.6
Korea	-0.9	2.7	5.4	-0.6	6.9	1.0	2.0	2.0
India	7.2	8.5	7.5	7.5	8.0	5.1	5.0	6.2
Indonesia	4.9	5.5	5.3	5.7	5.7	3.7	3.3	3.0
Malaysia	5.3	6.1	7.6	6.2	1.4	5.0	4.5	4.0
Philippines	4.9	3.7	1.4	2.4	3.8	4.9	5.7	8.2
Singapore	2.5	7.3	7.8	5.2	3.9	3.0	2.0	2.0
Thailand	1.9	2.2	-1.1	7.6	2.7	-1.1	1.2	2.0
Vietnam	7.8	12.0	8.0	5.0	5.0	4.5	6.0	6.0
Consumer prices, %oya, average								
Emerging Asia	1.9	0.7	0.4	0.9	1.4	1.9	2.2	2.0
ex China and India	1.6	1.5	1.5	1.8	2.1	2.9	3.3	3.4
China	-0.1	0.0	-0.2	0.6	0.8	1.2	1.3	0.9
Hong Kong SAR, China	1.6	1.8	1.1	1.3	1.6	1.6	1.5	1.7
Taiwan, China	2.2	1.6	1.5	1.3	1.2	2.3	2.3	2.2
Korea	2.1	2.1	2.0	2.4	2.1	3.0	3.4	3.2
India	3.9	3.1	1.9	0.8	3.1	4.1	4.9	5.6
Indonesia	0.6	1.8	2.4	2.8	3.9	2.7	3.2	3.6
Malaysia	1.5	1.3	1.3	1.4	1.6	2.0	2.0	2.1
Philippines	2.2	1.4	1.4	1.7	2.8	7.6	8.2	8.7
Singapore	1.0	0.8	0.6	1.2	1.5	1.9	2.6	2.4
Thailand	1.1	-0.3	-0.7	-0.5	-0.5	2.8	3.6	3.9
Vietnam	3.1	3.6	3.4	3.5	4.7	5.9	5.8	5.6
Official interest rates, % p.a., end-period								
Japan	Pol rate IOER ¹	0.48	0.48	0.48	0.73	0.73	1.00	1.25
Australia	Cash rate	4.10	3.85	3.60	3.60	4.10	4.35	4.35
New Zealand	Cash rate	3.75	3.25	3.00	2.25	2.25	2.25	3.00
China	7-day Reverse repo rate	1.50	1.40	1.40	1.40	1.40	1.40	1.30
Taiwan, China	Official discount rate	2.00	2.00	2.00	2.00	2.00	2.00	2.00
Korea	Base rate	2.75	2.50	2.50	2.50	2.50	2.75	3.00
India	Repo rate	6.25	5.50	5.50	5.25	5.25	5.25	5.25
Indonesia	BI RR rate	5.75	5.50	4.75	4.75	4.75	5.00	5.00
Malaysia	Overnight policy rate	3.00	3.00	2.75	2.75	2.75	2.75	2.75
Philippines	Reverse repo rate	5.75	5.25	5.00	4.50	4.25	5.00	5.50
Thailand	1-day repo rate	2.00	1.75	1.50	1.25	1.00	1.00	1.00
Vietnam	Refinancing rate	4.50	4.50	4.50	4.50	4.50	4.50	4.50

1. BoJ sets the policy rate on IOER (O/N) and targets 10-year JGB yields as policy guidance.

Source: National statistics authorities and J.P. Morgan.

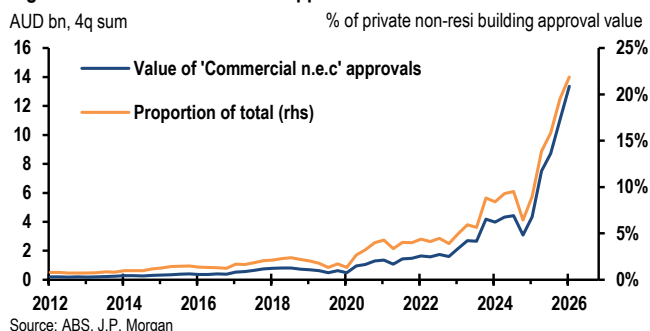
Australia: Data center boom in perspective

- The global wave of AI infrastructure spending has driven a surge in Australian data center investment
- Technology sector capex is rising sharply, while building approvals signal a steep construction upswing
- However, the scale remains small in macro terms and import leakage will moderate the GDP impact

Up to one in every five dollars approved for Australian non-residential building construction is now going towards building data centers¹ (Figure 1). The pick-up reflects a global surge in AI-related infrastructure investment, with the Australian Energy Market Operator (AEMO) forecasting Australian data center electricity demand (a proxy for output) [to triple by 2030](#).

We have written separately about [the implications of AI for the economy](#), through investment in software/data centers, productivity effects, and capital returns. Here, we provide an update on the data center investment lifecycle from construction to the operational phase, and provide estimates for its impact on Australia's National Accounts.

Figure 1: Australian data center approvals



In the near term, the data center build-out phase is set to boost non-residential construction activity, but the scale remains small relative to the economy and is unlikely to be a material driver of GDP growth. Growth in business capital expenditure is also likely to be somewhat offset by capital imports, given Australia's limited role in producing data center hardware. Once operational, upstream demand should be most visible in

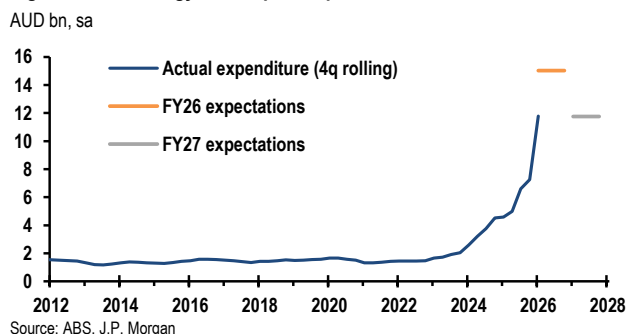
1. In the ABS' functional classification of buildings, data centers are captured under the *Commercial not elsewhere classified (n.e.c)* classification. This segment also includes other commercial building types such as car washes, car repair shops, funeral homes, mail sorting, marina buildings, metering stations, pet boarding facilities and petrol stations.

telecommunications and business services, but again, import leakage remains meaningful.

Spending big

Growth in tech infrastructure is already visible in a material pick-up in plant and equipment (P&E) investment by the technology sector (Figure 2). Technology sector P&E capex totalled A\$7.3bn through 2025, or about 0.2% of GDP. [IQ26 data](#) point to another sharp increase in actual spending on a rolling four-quarter basis, and firms' forward-looking guidance for the remainder of the current fiscal year signals further upside. Although firms' expectations for FY27 capital expenditure sit below current levels, firms overshot their planned 2025 spending and have not revised down their FY26 intentions, suggesting further upgrades are plausible. Note that these figures do not include direct tech spending by non-tech businesses, e.g. software investment, currently contributing around +0.1%-pts to GDP.

Figure 2: Technology P&E capital expenditure



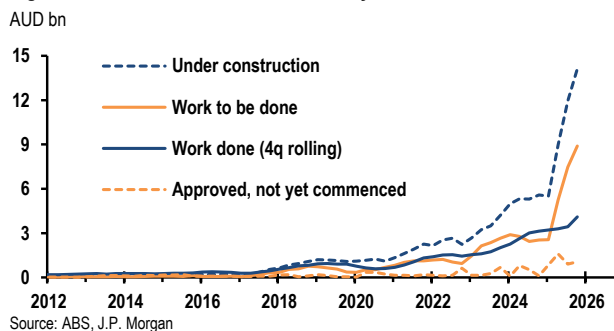
Even taken at face value, this trajectory, while a notable step up from its historical average, remains small as a share of the overall economy. Compared to Australia's early 2010s mining capex boom, which peaked at nearly 7% of GDP, the tech dynamic appears much smaller so far. Furthermore, while there is likely still upside for technology capital expenditure, a meaningful share of data center fit-out relies on imported capital equipment. Capital imports for tech equipment have also been surging and will mechanically offset some of the gross capex impulse to GDP.

Laying the foundations

From a GDP perspective, the larger domestic value added impulse comes via construction activity, which can be tracked from approvals (Figure 1) through commencements and work done (Figure 3). On current pipeline metrics, the construction upswing is steep, but the scale looks modest relative to aggregate output. The value of work under construction has more than doubled through 2025 to A\$14.1bn, while the portion still to be completed is A\$8.9bn — a modest 0.3% of GDP.

This work will be distributed into measured GDP over multiple quarters as it is executed, implying a smaller annual growth contribution. Moreover, the level of *approved but not yet commenced* work does not currently point to a step-change higher from here. A more material growth impulse would require a renewed leg up in approvals.

Figure 3: Data center construction activity



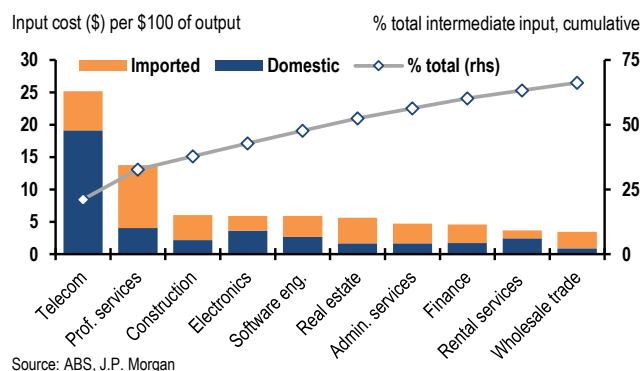
Up and running

Once operational, data centers contribute to growth through Gross Value Added (GVA) in the production measure of GDP. The relevant ABS category (*Other Information/Media Services*) is broad and bundles together publishing, motion picture services, TV/radio broadcasting, libraries and data center services. The group as a whole currently accounts for 1.4% of GDP. Taking AEMO's estimate of a tripling in energy use by 2030 as a proxy for output growth yields a contribution of +0.3%-pts to GDP per year as a plausible upper bound. In practice, the realised impulse is likely to be materially smaller. Data center operations represent only a portion of the broader category, and output is unlikely to scale one-for-one with capital or energy use.

Using the ABS input-output tables, related upstream inputs to data center operations can also be computed by industry². The latest available data for 2023-24 indicate a service-heavy supply chain with a significant import component (Figure 4). Telecommunications is the dominant upstream input at roughly \$25 per \$100 of output, with about \$19 sourced domestically and \$6 imported. Professional and scientific services follow at \$13, with a second tier including construction, electronics, software engineering, real estate, administrative services, and finance. Given that the ABS input-output data are released with a significant lag, the input mix is likely to evolve as data centers become a larger share of the segment.

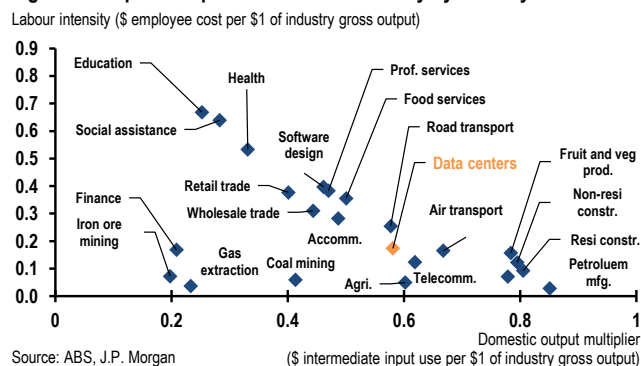
2. In the input-output tables, data center operations fall under the IOIG industry classification 5701: *Internet service providers, Internet publishing and broadcasting, Websearch portals and Data processing*.

Figure 4: Top 10 upstream data center operation inputs



The sum of upstream domestic intermediate inputs yields the gross domestic output multiplier, a measure of industrial interconnectedness³. For data centers, this multiplier is estimated at 0.58x (Figure 5), only marginally above the all-industry average (0.56x), and below construction (0.80x) and electricity generation (0.78x).

Figure 5: Output multipliers and labour intensity by industry



The labour intensity⁴ of data center operations is also modest, sitting below professional services and software design, yet above more capital-intensive industries such as mining and manufacturing. This is consistent with data centers generating moderate, not outsized, demand spillovers to other industries and to the labour market. The operational stage should therefore support telecoms and business services, but import leakage is again likely to temper the net uplift to GDP.

3. Input-output multiplier analysis assumes fixed technical coefficients, no supply constraints, constant relative prices, and no input substitution. Large demand shocks may trigger price adjustments, capacity limits, and shifting import shares that alter the realised impact.

4. Measures of labour intensity are sensitive to how labour income is recognised. Industries that rely heavily on sole contractors (e.g. construction) can appear less labour intensive, as contractor payments are recorded as business revenue rather than wages.

Japan

- **Alongside the supplementary budget and off-budget investment, a consumption tax cut has emerged**
- **Ueda's hawkish remarks point to a June hike that is largely priced in; focus shifts to QT**
- **Data suggest 2Q consumption started strong, underpinned by firm wage gains**
- **Next week: 1Q GDP to be revised down; SME sentiment to recover**

Developments surrounding fiscal policy again drew significant attention this week. The Diet approved a JPY3.1 trillion (0.5% of GDP) supplementary budget. Most of it consists of reserve funds that the Cabinet can disburse at its discretion without prior Diet approval. While the specific allocation will be determined by the Cabinet going forward, a large portion is likely to be directed towards energy subsidies. In addition, multiple media outlets reported this week that the government has begun coordinating to implement PM Takaichi's campaign pledge of a two-year, time-bound consumption tax cut on food—reducing the current 8% rate to 1% — from next April. If carried out, the government would forgo around JPY5 trillion (0.8% of GDP) in revenue over the two years starting next fiscal year. Together with last week's policy to formulate a growth-strategy plan off-budget, the increasing likelihood of the tax cut has clearly raised the odds that next fiscal year's JGB issuance will expand substantially. With inflation rising and the PM's approval ratings beginning to drift down, the administration may be under pressure to shore up support through fiscal expansion.

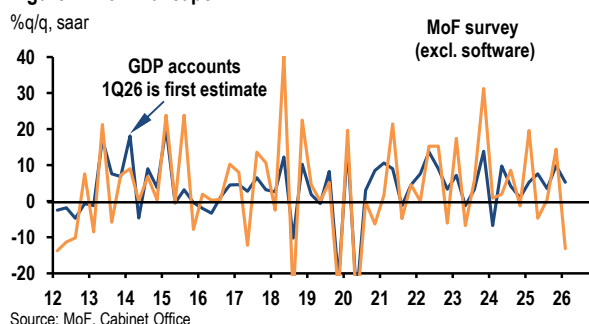
With underlying inflation remaining elevated and fiscal policy turning more expansionary, USDJPY this week returned to the 160 level—back to where it stood before the late-April currency intervention. Against this backdrop, Governor Ueda stated in a speech that there is a need to “properly discuss whether to raise rates,” sending a hawkish signal. However, with a June rate hike already largely priced in, attention has shifted to whether the BoJ will further reduce its JGB purchases from April 2027 onward. The BoJ's survey of market participants released this week indicated that opinions are divided, but that calls to continue the tapering are in the slight majority. Meanwhile, the government—tilting toward fiscal expansion—may prefer a halt to the reductions. We expect the BoJ to strike a balance by slowing the pace of reductions from JPY200 billion per quarter to JPY100 billion per quarter from April 2027 onward. That said, this would not mean the BoJ's QT is slowing; it would merely mean that the pace of acceleration becomes somewhat more gradual.

Turning to the data, this week's data suggest that accommodative monetary policy and fiscal support contributed to a solid start for household consumption in 2Q. April wages remained on a strong trend, and real consumption also posted robust growth, helped by subsidies for durable goods. In next week's second estimate of 1Q GDP, the strength in capex shown in the first estimate is expected to be revised down to negative growth, but overall GDP growth should still come in at an above-potential 1.2%q/q saar (2.1% in the first estimate).

1Q GDP to be revised down on capex

The Ministry of Finance's 1Q26 corporate survey suggested capex fell 1.4%oya excluding software, below our and market expectations (JPM: 5.5%, Consensus: 5.4%). On a seasonally adjusted q/q basis, capex (ex. software) dropped 13.1%q/q, largely unwinding the sharp 14.5%q/q saar increase recorded in 4Q25 (Figure 1). As the survey forms a key input into the calculation of business investment in the GDP accounts, these results suggest that the resilience in capex shown in the first estimate of 1Q26 GDP report is likely to be reversed in the second estimate. In next week's second estimate, we expect capex growth to be revised from a 1.1%q/q, saar rise to a 4.0% decline, indicating a payback of the strong 4Q25 gain. As a result, we think headline 4Q real GDP will be revised to 1.2%q/q saar, down from 2.1% in the first estimate.

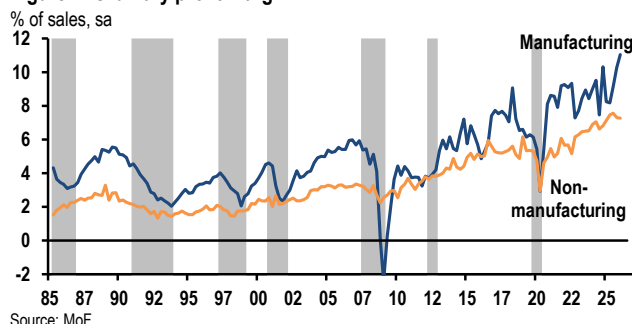
Figure 1: Nominal capex



While nominal capex came in weaker-than-expected, sales and current profits continued to post solid growth, rising 5.3%q/q, saar, and 17.4%, respectively. Thus, we don't think this report points to a trend slowdown in corporate activity. While non-manufacturers are not showing notable strength in either sales or profits, the strength in the manufacturing sector stands out. Manufacturing profits have risen at an annualized q/q pace of more than 50% for three consecutive quarters, underscoring robust corporate performance. The weakness in 1Q capex likely reflects, rather than a deterioration in fundamentals, firms' initial response to the conflict that began in the Middle East during the quarter—postponing investment decisions.

05 June 2026

Figure 2: Ordinary profit margin

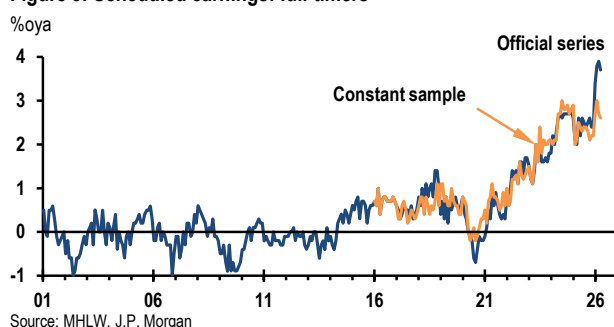


Looking ahead, a key question will be the extent to which global price increases and supply constraints curb corporate activity. Profit margins in both manufacturing and non-manufacturing are at historically high levels, suggesting that capex appetite should remain firm (Figure 2). That said, surging material costs and a tight labor market continue to weigh on the execution of planned investment. We expect the corporate profit environment to remain favorable, while also recognizing that supply constraints could become a binding constraint on economic activity.

April base pay growth solid again

The monthly Employers' Survey again points to a strengthening underlying wage trend. Headline wages rose 3.5%oya in April, well above our expectation of a 2.7% increase. Base wage growth was particularly firm: scheduled earnings rose 4.2%oya, the fastest pace since 1994. Some of this strength is tempered in the constant sample series (which removes sampling volatility), but even there, scheduled earnings increased 2.8%oya, indicating an acceleration relative to last year.

Figure 3: Scheduled earnings: full-timers

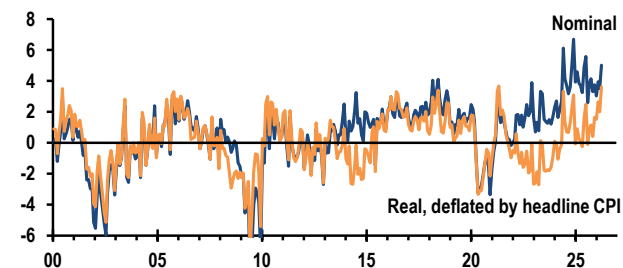


Scheduled earnings for regular workers rose 3.7%oya (and 2.6%oya in the constant sample series) (Figure 3), reinforcing the view that this year's wage trend is stronger than last year's. This may indicate that wage momentum is spreading to smaller firms that do not typically participate in the shunto wage negotiations. Part-time workers' hourly wages rose 4.9%oya, the fastest pace since March 2024. Sustained base-

pay gains should also contribute to stickiness in underlying core inflation.

Figure 4: Wage income of employees

%oya, latest data are JPM estimates



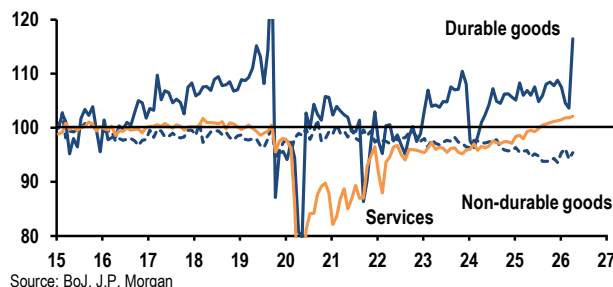
With headline inflation easing—largely due to government measures to curb price pressures—real income conditions continue to improve. Real wages, deflated by headline CPI, rose 2.1% in April. Regarding the total wage income of employees, we estimate the nominal income increased 5.0%oya, implying a 3.6% gain in real incomes, the strongest since May 2021 (Figure 4). This suggests households may have sufficient buffer to absorb the near-term impact of energy shocks.

Real consumption surges in April

The BoJ's real Consumption Activity Index (CAI, travel balance adjusted) rose 1.6%/m/m sa in April, the largest increase since September 2022. The upside surprise appears partly driven by durable goods, which rose 12.4%/m/m sa, as auto-related subsidies and tax cuts that began in April likely [boosted vehicle sales](#). Importantly, services consumption continued to post steady gains, rising 0.3%, and non-durable goods rebounded 1.2% despite a jump in energy prices—suggesting households remain resilient at the start of this quarter. This aligns with our view that solid wage growth and government measures to curb inflation are providing a buffer, helping households absorb energy-price shocks without a meaningful deterioration in consumer demand.

Figure 5: BoJ Consumption activity index

2020=100, sa



Data releases and forecasts

Week of June 8 - 12

Mon	GDP - 2nd estimates			
Jun 8	%q/q, saar			
8:50am		3Q25	4Q25	1Q26
	Real GDP	-2.5	0.8	<u>1.2</u>
	Private consumption	2.1	0.2	<u>1.1</u>
	Residential investment	-28.7	21.3	<u>2.1</u>
	Bus. capital investment	-0.4	5.6	<u>-4.0</u>
	Government consumption	0.2		<u>0.4</u>
	Public investment	-4.2	-0.8	<u>5.7</u>
	Exports	-6.2	0.7	<u>7.1</u>
	Imports	-0.7	0.0	<u>1.9</u>
	%-pt contrib. to q/q saar GDP growth			
	Domestic final sales	-0.4	2.1	<u>0.2</u>
	Net exports	-1.0	0.1	<u>0.9</u>
	Inventories	-1.0	-1.4	<u>0.0</u>
	GDP deflator (%oya)	3.4	3.4	<u>3.4</u>

We expect the second estimate of 1Q26 real GDP growth to be revised lower, as business capex is likely to be markedly downgraded following the weak results of the MoF Corporate Survey.

Mon	Balance of payments				
Jun 8					
8:50am		Jan	Feb	Mar	Apr
	Current account (JPY bn, sa)	3170	2701	3901	<u>3542</u>
	Trade balance	935	-310	418	
	Exports	10202	9839	10164	
	Imports	9267	10149	9746	
	Services	-331	-402	-614	
	Primary income	3040	3738	4284	
	Secondary income	-474	-325	-188	
	Current account (JPY bn, nsa)	931	3933	4681	3215

We expect the current account surplus in April to narrow, but based on the trade statistics already released, the impact of higher energy prices likely kept the narrowing limited.

Mon	Economy Watchers survey				
Jun 8	DI, sa				
2:00pm		Feb	Mar	Apr	May
	Current conditions	48.9	42.2	40.8	<u>41.3</u>
	Households	48.8	41.7	40.5	
	Business	49.9	43.1	41.5	
	Employment	47.6	43.1	41.4	

We expect small firms' business sentiment index to slightly increase in May, reflecting a recovery in consumer confidence. However, sentiment should remain soft, due to higher oil prices and concerns about supply chain disruption.

Wed	Producer prices index				
Jun 10	%oya, nsa, 2020-based				
8:50am		Feb	Mar	Apr	May
	Domestic PPI	2.1	2.9	4.9	<u>5.3</u>
	(%m/m)	0.2	0.8	1.8	<u>0.5</u>
	Export prices	9.7	12.2	18.9	
	Import prices	2.7	8.0	17.5	

We expect the goods producer price inflation (PPI) to further increase in May, as the impact of energy shocks has continued to ripple through a wide range of intermediate goods, such as chemical products.

Review of the past week's data

MoF corporate survey (Jun 1)

%q/q, saar, nonfinancial firms

	3Q25	4Q25	1Q26	
Sales	<u>-0.3</u>	0.0	<u>2.6</u>	3.0
Current profits	<u>16.3</u>	19.8	<u>6.5</u>	11.5
Capex ex. software	<u>0.0</u>	0.4	<u>16.9</u>	14.5
Capex (%oya)	2.9	7.3	<u>5.5</u>	-1.4

See main essay.

Employers' survey – preliminary (Jun 5)

%oya, official base

	Feb	Mar	Apr	
Monthly wages per employee	3.4	3.1	<u>2.7</u>	3.5
Scheduled earnings	3.4	3.4	___	4.2
Full-timers monthly	3.8	3.9	___	3.7
Part-timers hourly	4.2	4.3	___	4.9
Overtime payments	3.0	3.1	___	4.2
Special payments	7.5	-0.7	___	7.4
Real wages (total)	2.1	1.6	___	2.1

*Real wages deflated by headline CPI

See main essay.

Consumption activity index (Jun 5)

%m/m, sa

	Feb	Mar	Apr	
CAI (BoJ)	<u>-0.2</u>	0.0	<u>-0.2</u>	-0.4
			___	1.6

See main essay.

Sources for all data tables: ADA, BoJ, CAO, JCSA, JDSA, JFA, JLM, VMA, Markit, METI, MHLW, MILT, MoF, Reuters, Statistics Bureau, J.P. Morgan forecasts.

Japan Focus: Energy subsidies broaden to curb inflation

Government subsidies are continuing to suppress CPI readings, particularly in public services and energy. In April, measures such as gasoline subsidies, tax cuts, and temporary electricity and gas subsidies reduced the core CPI (excluding fresh food) by roughly 1.0%pt. As a result, the gap between the reported CPI series and [the BoJ's preferred](#) "Consumer Prices excluding Institutional Factors" indicators has widened (Figure 1 and 2). Core CPI (excluding fresh food) rose 1.4%oya in April, but policy measures are estimated to have trimmed inflation by a further 1.4%pt.

Figure 1: Core CPI (ex. fresh food)

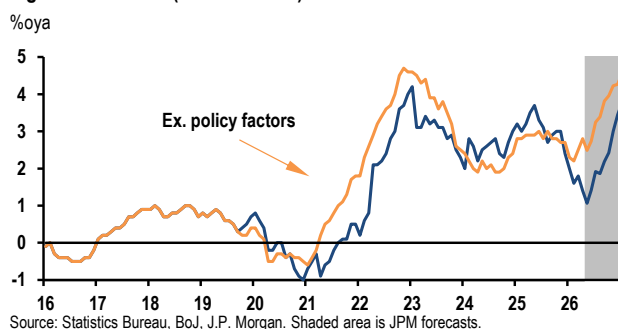
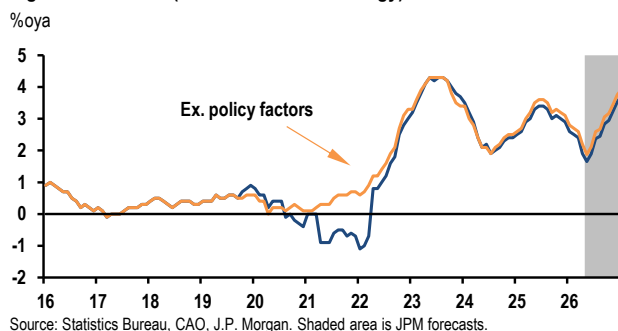


Figure 2: Core CPI (ex. fresh food and energy)



A large share of the energy-related support comes from gasoline subsidies. With Brent crude still above \$100/bbl, retail gasoline prices before subsidies have risen to around 210 yen/liter since the conflict—close to the levels seen in 2023. By capping retail gasoline prices below 170 yen/liter, alongside a gasoline tax cut, gasoline-related measures lowered core CPI (ex. fresh food) by about 0.8%pts (Figure 3).

Figure 3: CPI gasoline price

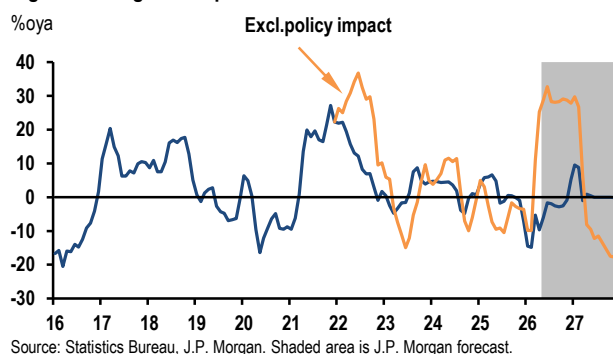
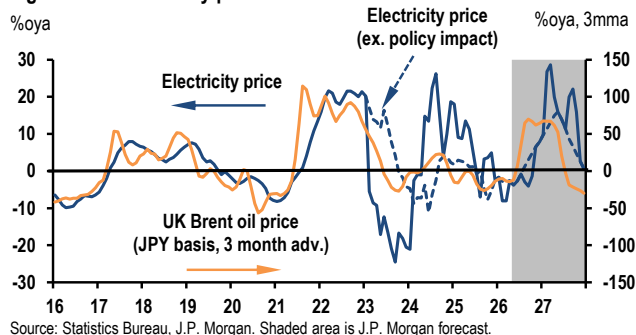


Figure 4: CPI electricity price



A second wave of energy price pressures is likely this summer as electricity prices begin to rise. Electricity tariffs typically reflect oil-price movements with a 3–6 month lag, implying that higher oil prices should feed through from mid-year. Against this backdrop, the government has announced plans for a supplementary budget to reintroduce electricity and gas subsidies over the summer. The measures should lower core CPI by 0.4–0.5%pt in Aug–Oct, while the impact on the %oya reading is expected at around 0.2–0.3%pt, reflecting base effects from last year's subsidies.

While these measures cushion households from the immediate impact of higher energy costs, they also increase the risk of a rebound in energy inflation once subsidies expire. In our forecast, energy prices begin to add to core inflation from late 2026, pushing core CPI above 3%oya by year-end. If that materializes, the government may extend electricity subsidies to limit further inflation. The planned three-month electricity and gas package this summer is estimated to cost 500 billion yen, but repeated extensions—together with [sizeable ongoing outlays for the gasoline price cap](#)—would heighten the risk of additional fiscal spending.

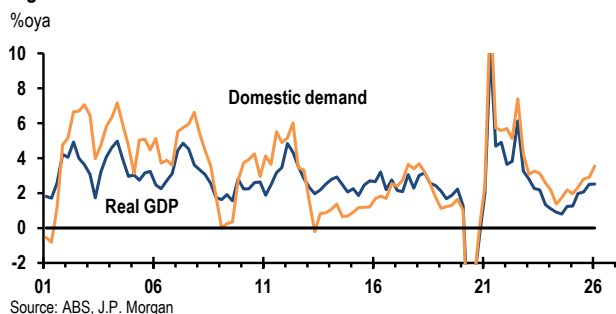
Australia and New Zealand

- Australian 1Q GDP disappointed at +0.3%/q
- RBA messaging likely to maintain hiking bias after a large minimum wage hike
- Business conditions expected to weaken further, with confidence stabilizing

Australia's 1Q GDP data was softer than expected at +0.3%/q, below both consensus (+0.4%/q) and J.P. Morgan expectations (+0.6%/q). Tracking data over the past two weeks pointed to solid investment momentum in the first quarter. There was some disappointment in pockets of non-dwelling construction, which undershot rates implied by earlier indicators, but strength in other business outlays was preserved, particularly [tech-related plant and equipment spending](#).

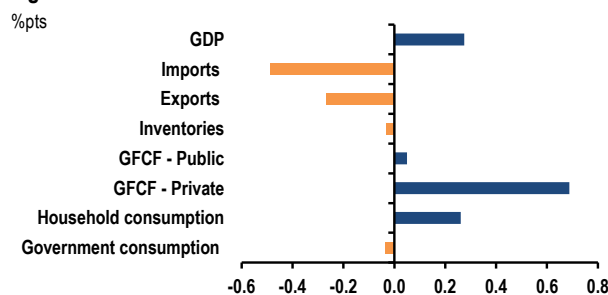
The economy grew 2.5%oya over the last year, though with weaker recent momentum in consumption. A similar pattern is evident in domestic demand, which rose a modest 0.4%/q, but is up 3.5%oya (Figure 1). The large gap between final demand and GDP growth has been a persistent feature of recent years and lately, reflects import-intensive capital spending activity.

Figure 1: Australian real GDP and domestic demand



Household spending contributed +0.3%-pts to growth during the quarter, while government consumption slowed enough to make no net contribution (Figure 2). This in part reflects the technical transfer of final energy expenditure back to households, after recent years' electricity subsidies. Within gross fixed capital formation (GFCF), machinery and equipment investment surged 16.3%/q, adding a solid +0.7%-pts. However, this was largely offset by a 0.5%-pt drag from higher imports. Non-dwelling construction made no net contribution, as a decline in engineering work ran counter to the gains suggested by the construction work done report. Dwelling construction edged up modestly (+0.7%/q) and inventories were neutral, coming in softer than business indicators had implied. On the external side, exports fell 1.1%/q, taking 0.3%-pts from growth, driven by broad-based weakness across key commodities as well as a softening in travel services.

Figure 2: Australia GDP 1Q26 contributions

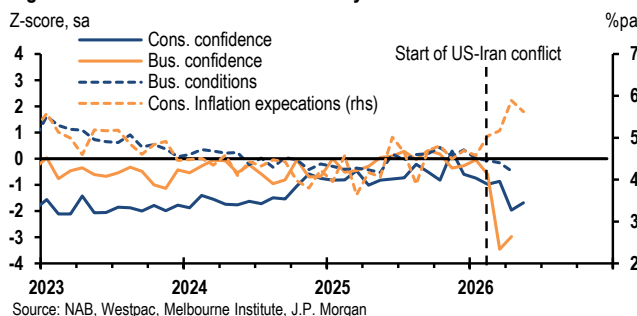


The improving aggregate trend in productivity was interrupted in 1Q, with a 0.6%/q decline. This is not entirely unexpected in the early stages of a supply shock and the last year remains the firmest four-quarter window of productivity performance since the pandemic reopening. But alongside the higher-than-expected minimum wage decision and ongoing Middle East risks, the sense of a constrained supply side will keep at least some tightening bias baked into RBA commentary and market pricing near term, even if in our view, policy is on hold. More contemporary data on consumption and housing suggest further slowing into the middle of the year, presenting some downside risks to 2Q/3Q.

Conditions at risk

Sentiment surveys have reacted sharply to the Middle East conflict, with both business and consumer confidence measures recording outsized declines (Figure 3). NAB business confidence fell 29pts in March, while business conditions were initially more resilient but have since weakened. Consumer sentiment has been hit to a similar degree, with rising retail fuel prices driving consumer inflation expectations to their highest level since 2023. While consumer inflation expectations are typically poor predictors of future inflation, the data suggest that weak sentiment is being driven in part by revived cost-of-living concerns.

Figure 3: Business and consumer surveys around US-Iran conflict



Looking ahead to next week's NAB business survey, Westpac consumer confidence, and consumer inflation expectations

05 June 2026

releases, we expect confidence to rebound from extreme lows, though will likely remain depressed in absolute terms. Business conditions look less supported and should remain soft as elevated energy costs persist, while consumer inflation expectations are likely to hold at recent highs.

Australia

Data releases and forecasts

Week of June 9 - 12

Tue	Westpac consumer sentiment				
Jun 9		Mar	Apr	May	Jun
10:30am	Index, sa	91.6	80.1	83.0	
Tue	NAB business confidence				
Jun 9		Feb	Mar	Apr	May
11:30am	Confidence, sa	-1.5	-29.0	-24.4	
	Conditions, sa	6.3	5.5	2.6	
Thu	MI inflation expectations				
Jun 11		Feb	Mar	Apr	May
11:30am	% p.a.	5.2	5.9	5.6	

Review of past week's data

ANZ job advertisements				
	Mar	Apr	May	
%m/m, sa	-3.0	-0.6		1.8
Building approvals				
	Feb	Mar	Apr	
%m/m, sa	31.3	-10.5	<u>3.0</u>	-3.4

Residential dwelling approvals fell in April, broadly in line with J.P. Morgan forecasts. The pullback was driven by a 3.6%*m/m* decline in the high-density segment, and followed a sharp March decline; however, the level remains 20.5% higher on an oya basis, consistent with decent high-density momentum despite recent volatility. Detached house approvals were slightly softer than expected, falling 1.0%*m/m*. While the near-term construction pipeline remains well-supported, the forward outlook is softening as higher interest rates and easing house prices weigh into 2H26.

Company gross operating profits				
	3Q25	4Q25	1Q26	
%q/q, sa	1.8	5.9		-1.3
Current account				
	3Q25	4Q25	1Q26	
A\$bn, sa	-19.3	-23.0	<u>24.0</u>	-27.1

Australia's current account deficit widened to \$27.1bn in 1Q26 (-3.7% of GDP). This marks the fourth consecutive quarterly widening and came in below (wider than) both J.P.

Morgan and consensus expectations. The deterioration was led by the goods and services balance slipping into a \$2.4bn deficit, the first since 2017, alongside a modest widening in the net primary income deficit. The terms of trade rose 1.1% over the quarter.

Goods export values fell 1.2%*q/q*, with volumes down 0.8% and prices down 0.4%. The decline was led by non-rural goods (-5.2%) on weaker iron ore prices and cyclone-related disruptions to iron ore and coal shipments. Non-monetary gold exports rose 23.7%*q/q* in nominal terms, marking the tenth consecutive quarterly increase. Goods imports rose 1.5%*q/q* (volumes +1.4%, prices flat), with capital goods up 3.1% (volumes +6.3%) reflecting record ADP equipment imports. Intermediate goods rose 3.0% alongside higher fuel costs following the closure of the Strait of Hormuz. Services exports fell 1.3%*q/q* (volumes -2.1%), led by travel (-2.4%), and a smaller intake of international students, while services imports fell 0.9% in value even as volumes rose 3.8% (prices -4.5%).

Gross domestic product					
	3Q25	4Q25		1Q26	
%q/q, sa	0.5	<u>0.8</u>	0.9	<u>0.6</u>	0.3
Goods trade balance					
	Feb	Mar		Apr	
A\$bn	5.0	-1.8		<u>3.0</u>	1.8

Australia's nominal goods trade balance rebounded to a surplus in April, reversing March's deficit, but by less than we had expected. The recovery was export-led, with goods credits rising 7.2%*m/m* on strong bulk commodity shipments. Imports were broadly flat (+0.8%*m/m*) in headline terms, though the composition was less benign, with a sharp rise in fuel imports offsetting an expected pullback in capital goods.

New Zealand

Data releases and forecasts

Week of June 9 - 12

Fri	BusinessNZ manufacturing index				
Jun 12		Feb	Mar	Apr	May
8:30am	Index, sa	54.6	52.8	50.5	

Review of past week's data

No data releases of note.

Sources: ABS, ANZ, Westpac-MI, NAB, BusinessNZ, J.P. Morgan

Greater China

- **China: PMI eased but still expanding**
- **Taiwan: PMI firmed to near five-year high**
- **CPI was a touch higher than expected in May**
- **Hong Kong: retail sales showed broad-based softness**
- **Next week: China FX reserves, trade, credit, CPI/PPI; Taiwan trade**

NBS and Rating Dog PMIs delivered mixed signals following weak April activity, with still solid readings on the production and price side, and improvement in services including construction, but exports showed signs of weakening. Next week's trade, credit and CPI/PPI data could bring clarity. We expect exports to decline by 2.0% m/m sa, and imports to decline 3.5% m/m, sa, although annual growth rates will remain positive and strong. [Alternative data](#) suggests that government bond issuance picked up to 1140bn yuan in May, supported by higher CGB issuance, especially special CGB. This might support a recovery in infrastructure FAI. Housing data indicates further improvement in secondary home sales in May, rising 18.0% oya (vs. 8.9% in April). But TSF, especially new loan creation, should remain weak. The Middle East conflict continues to exert an impact on prices; we expect PPI and CPI inflation to pick up to 3.8% oya and 1.3%, respectively. On the whole, though, we see some downside risks to 2Q GDP.

China: PMI eases though still in expansionary territory

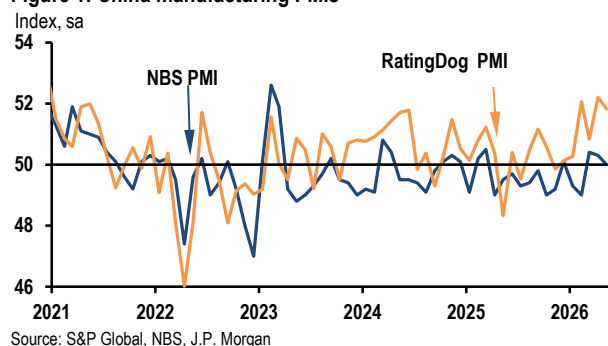
May PMI reports point to a softer manufacturing pulse juxtaposed with improving non-manufacturing activity. Headlines were steady-to-lower: the NBS manufacturing PMI edged down to 50.0, while RatingDog's fell to 51.8, though remaining in expansion. Both surveys show production still growing but moderating (NBS: 51.2; RatingDog: 53.4), consistent with continued—though less vigorous—factory activity. On demand, NBS new orders slipped into contraction (49.9), while RatingDog new orders declined to 52.5, still among the stronger readings of recent years. The shared signal is that demand momentum is weakening, with exports becoming a clearer drag: NBS new export orders fell 1.7pts to 48.6 and RatingDog new export orders dropped 1.5pts to 49.6, both in contractionary territory.

Price components moderated but stayed elevated. NBS input prices remained high at 60.5 and output prices at 51.9; RatingDog input prices eased to 55.8 and output prices to 52.0. The deceleration suggests less inflationary pressure at the margin, but levels remain consistent with ongoing cost strain. Future output stayed in solid expansion, implying continued

confidence despite export and cost concerns. The NBS non-manufacturing PMI improved, rising 0.7pt to 50.1, with services back in expansion and construction less weak.

May RatingDog and NBS PMIs depict a picture of slowing but still healthy manufacturing expansion. The impact of the Middle East conflict lingers but may begin to wane as negotiations for a peace deal remain on track. Price and cost pressures will persist, as will supply chain delays. While exporters may face demand challenges, the recent Trump-Xi summit might inject a sense of stability. Firms stayed optimistic about continued, albeit slower, growth, citing new product launches, technological advances, and improved capacity.

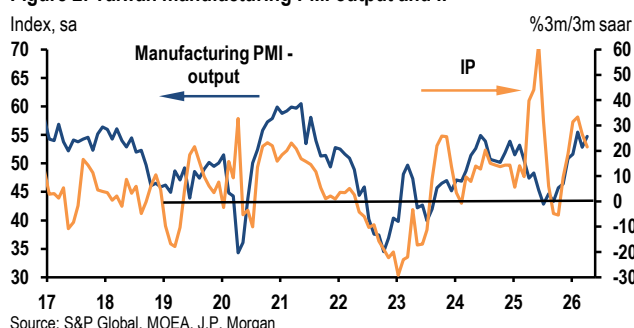
Figure 1: China manufacturing PMIs



Taiwan: PMI strengthened further

Taiwan's May manufacturing PMI accelerated to the fastest pace since August 2021 at 56.1, staying in expansionary territory for the sixth consecutive month. Output component rose 0.8pt to 55.6, the highest in more than four and a half years (Figure 2), and demand components were steady. The Middle East conflict has put pressure on supply chains, prompting higher quantity purchases and lengthening suppliers' delivery times to the worst level since end-2021. Input and export price PMIs stayed elevated, despite a slight moderation in the pace of increases.

Figure 2: Taiwan manufacturing PMI output and IP

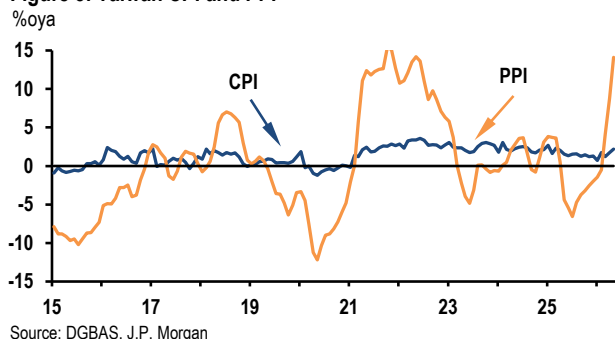


Looking ahead, the AI/semiconductor upcycle still appears intact. US hyperscalers' March results, alongside robust committed orders, point to multi-year demand visibility rather than a one-off surge, underpinning continued support for Taiwan's tech sector. On energy, conditions are now relatively calm, as previous contingency measures and diversified imports have helped secure energy supplies in the coming months. The drag from Middle East disruptions is likely to be felt more by non-tech sectors, especially petrochemicals given the feedstock-led nature of constraints, but downstream spillovers appear manageable so far.

CPI surprised slightly to the upside

Taiwan's headline CPI rose 2.2%*o*ya and 0.3%*m*/m sa in May (Figure 3), on higher energy CPI (+13.6%*o*ya or 1.2%*m*/m sa) and food prices (+0.2%*m*/m sa). Core CPI rose 2.1%*o*ya. Fuel-linked transport and travel costs were the main push, while higher computer equipment prices further lifted education and entertainment. PPI surged 14.1%*o*ya (1.4%*m*/m sa) on higher global commodity prices, the fastest annual pace since May 2022, led by oil & chemicals and electronic parts/devices. This adds to pressure for producers to pass through costs, although Taiwan's historical producer-to-consumer pass-through has been limited.

Figure 3: Taiwan CPI and PPI

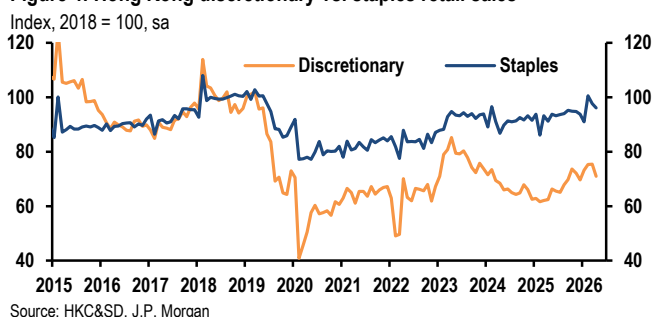


Debate continues over whether the recent inflation upturn will push Taiwan's CBC to tighten. CBC viewed the oil shock as manageable in 1Q, but is watching for 2nd-round effects on inflation expectations. A key recent development is firmer domestic demand, which could gradually add to inflation-expectations pressure even as pass-through remains contained for now via local price-adjustment mechanisms and SOE absorption. With some regional peers turning more hawkish (e.g., BoK), the 2Q CBC meeting in two weeks is a key event for signals on whether conditions are shifting toward the "second stage", which could raise the odds of a rate hike before the year-end.

Hong Kong: softer retail sales in April

Hong Kong's retail sales weakened more than expected in April with a 1.8%*m*/m sa fall, ending three consecutive sequential gains in 1Q and pulling the annual rate down to 6.4%*o*ya. Despite the April easing, the trend pace held up at 12.5%*3m*/3m saar. The main lifts from last print, consumer durable goods, turned into a net drag (-9.8%*m*/m sa) in April as the tax concession boost for EV sales waned (Figure 4). Hong Kong residents' departures reached a seasonal peak in April due to the Easter, weighing on retail sales activities in several categories.

Figure 4: Hong Kong discretionary vs. staples retail sales



Looking ahead, base effects in 2H may turn unfavorable after the demand catch-up in late 2025. Still, sales should be helped by fiscal support, a steadier labor market, continued visitor inflows, and wealth effects from the property market recovery and last year's equity rally. The direct impact from Middle East tensions has been limited so far, given its stable energy supply from Mainland China and relatively low per-capita energy use. However, prolonged geopolitical tensions could still generate broader spillovers, testing the durability of the domestic demand recovery.

China

Data releases and forecasts

Week of June 7-12

Sun	FX reserves				
Jun 7	US\$bn				
		Feb	Mar	Apr	May
	FX reserves	3428	3342	3411	3405
Tue	Merchandise trade				
Jun 9	US\$bn				
		Feb	Mar	Apr	May
	Balance	90.8	51.1	84.8	92.0
	Exports	299.8	321.0	359.4	353.7
	% <i>o</i> ya	39.6	2.5	14.1	12.1
	Imports	209.0	269.9	274.6	261.7
	% <i>o</i> ya	13.9	27.8	25.3	22.9

Feng Zhu (852) 2800 1745
feng.zhu@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Tingting Ge (852) 2800-0143
tingting.ge@jpmorgan.com

Jiayi Li (852) 2800-5229
jiayi.c.li@jpmorgan.com

Tongfang Yuan (852) 2800-0085
tongfang.yuan@jpmorgan.com

Global Economic Research
Greater China
05 June 2026

J.P.Morgan

Monetary aggregates

Jun 9-15	%oya, bn yuan				
		Feb	Mar	Apr	May
	New loan creation	900	2990	-10	<u>605</u>
	%oya	6.0	5.7	5.6	<u>5.6</u>
	TSF flow	2384	5227	621	<u>1885</u>
	%oya	8.2	7.9	7.8	<u>7.7</u>
	M2	9.0	8.5	8.6	<u>8.7</u>

Consumer prices

Wed					
Jun 10	% change				
9:30am		Feb	Mar	Apr	May
	%oya	1.3	1.0	1.2	<u>1.3</u>
	%m/m sa	0.7	0.2	0.2	<u>0.2</u>

Producer prices (NBS)

Wed					
Jun 10	% change				
9:30am		Feb	Mar	Apr	May
	%oya	-0.9	0.5	2.8	<u>3.8</u>
	%m/m sa	0.4	0.9	1.8	<u>0.7</u>

Review of past week's data

Purchasing managers index (31 May)

Index				
	Mar	Apr	May	
Overall (RatingDog)	50.8	52.2	<u>51.0</u>	51.8
Output	50.8	53.8		53.4
Overall (NBS)	50.4	50.3	<u>50.1</u>	50.0
Output	51.4	51.5		51.2

Hong Kong SAR

Data releases and forecasts

Week of June 8-12

No data releases.

Review of past week's data

Retail sales volume (2 Jun)

% change				
	Feb	Mar	Apr	
%oya	17.5	9.8	<u>9.4</u>	6.4
%m/m sa	2.8	0.7	<u>0.3</u>	-1.8

S&P Global Hong Kong PMI (3 Jun)

Index, sa				
	Mar	Apr	May	
Overall	49.3	48.6	<u>50.3</u>	50.4
Output	48.6	48.3		51.6

Taiwan

Data releases and forecasts

Week of June 8-12

Tue	Merchandise trade				
Jun 9	US\$bn				
4:00pm		Feb	Mar	Apr	May
	Balance	12.8	21.3	14.4	<u>17.2</u>
	Exports	49.8	80.2	67.6	<u>72.6</u>
	%oya	20.6	61.8	39.0	<u>40.3</u>
	Imports	37.0	58.9	53.3	<u>55.4</u>
	%oya	6.8	38.3	29.2	<u>41.6</u>

Review of past week's data

S&P Global Taiwan PMI Mfg (1 Jun)

Index, sa				
	Mar	Apr	May	
Overall	53.3	55.3	<u>53.0</u>	56.1
Output	52.8	54.8		55.6

Consumer prices (5 Jun)

% change				
	Mar	Apr	May	
%oya	1.2	1.7	<u>2.1</u>	2.2
%m/m sa	-0.1	0.4	<u>0.2</u>	0.3

Source: NBS, China Customs, Hong Kong Census and Statistics Department, Taiwan Ministry of Economic Affairs, DGBAS, MoF, J.P. Morgan forecasts. The long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China); and Taiwan (China).

05 June 2026

Korea

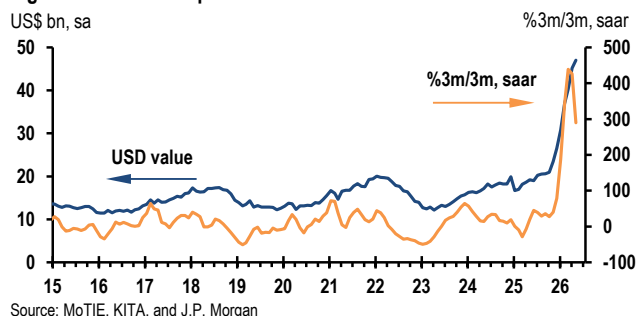
- **May customs exports rose further as the tech boom continues**
- **CPI inflation rose to 3.1% oya with initial spillover effect from oil prices**

Korea's latest data flow keeps the near-term macro narrative constructive: May exports extended the tech-led upswing, the manufacturing PMI moved further into expansion on stronger orders and output, and May CPI firmed with clearer first-round spillover from energy into services. All this points to resilient activity even as momentum may cool from the very strong 1Q base. This combination suggests a modest upside risk that the Bank of Korea leans more hawkish at the margin, as policymakers are increasingly focused on whether tech-led strength and energy pass-through translate into broader demand-side inflation. That said, the hawkish impulse should remain tempered by uncertainty around the durability of price pressures (i.e., whether spillovers peak and fade if oil stabilizes) and by the fact that 2Q growth will still decelerate. Meanwhile, the local and by-election results were broadly as expected and do not meaningfully change the policy backdrop: local leadership tilted toward the ruling camp while legislative arithmetic remains largely intact, implying policy continuity rather than a new fiscal/monetary impulse.

Tech export boom continues in May...

May customs exports set another record, with seasonally adjusted exports extending a multi-month uptrend and the short-term trend remaining exceptionally strong. The recent surge looks increasingly driven by pricing power—especially in semiconductors and petrochemicals—rather than a pure volume story. As those price effects stabilize, headline growth rates should cool mechanically, but the key takeaway is that the export level appears to have “re-rated” higher, consistent with an AI-led tech upswing that is reshaping Korea's export baseline rather than delivering a one-off spike (Figure 1).

Figure 1: Customs exports - Tech sector

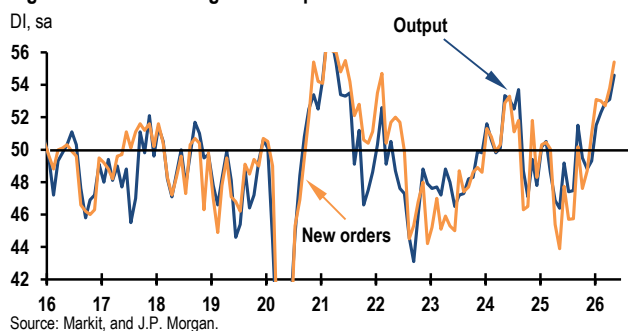


Under the hood, tech exports continue to provide the main lift, with semiconductors still the standout amidst some month-to-month volatility elsewhere that looks more technical than fundamental. Non-tech exports improved from April's pullback, but the rebound is still heavily influenced by energy-related pricing dynamics, while the broader non-tech complex remains soft. Imports also continued to rise, though at a slower pace than exports, pushing the trade surplus to a new high. Importantly, crude oil import values increased with signs that volumes may be recovering as supply bottlenecks ease. Overall, the trade picture remains supportive, but the mix - price-led gains in key categories and stabilization in energy flows - suggests strong levels could persist even as growth rates gradually normalize.

...echoed by upbeat manufacturing PMI

Manufacturing PMI strengthened further in May, rising to its fastest pace since early 2021 and outperforming expectations. Importantly, the composition of the improvement shifted from logistics-related support to more fundamental demand-and-production strength (Figure 2), with new orders and output hitting multi-year highs—consistent with a more favorable 2Q manufacturing outlook than initially assumed. The pick up also suggests firms are using inventories to cushion localized supply disruptions (notably in petrochemicals), while the rebound in future output indicates that current geopolitical stress is not yet translating into persistent headwinds for manufacturers. Although export orders slipped slightly below neutral—hinting at some near-term payback in volumes—we think the overall tone of new orders, supported by front-loading and improved customer sentiment including domestically, leaves room for upside risk to the external outlook.

Figure 2: Manufacturing PMI - output and new orders

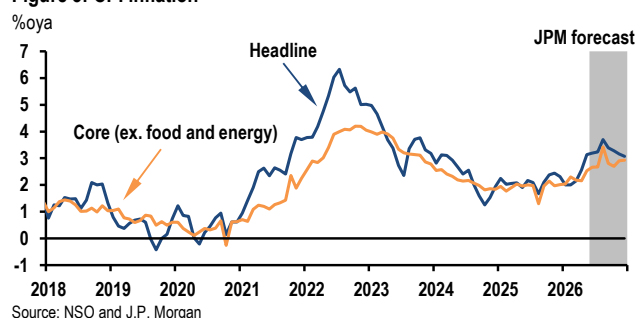


CPI inflation rose to 3.1% oya in May

May CPI surprised modestly to the upside, with both headline and core measures firming on a seasonally adjusted basis, pointing to early signs that higher energy costs are spilling into adjacent categories. The key development was a stronger-than-usual increase in services inflation, led by components closely tied to oil prices such as transport-related and

travel costs, suggesting that the first-round pass-through has become more visible even as pump-price momentum itself has slowed. That said, with fuel surcharges having limited room to rise further and petroleum prices likely stabilizing at a higher level under the current pricing framework, we think the first-round spillover may have peaked in May and should not translate into a repeat of the 2022–23 episode, which was driven by sustained labor-market tightness and persistent core services pressure. Our base case is therefore for inflation to peak at a lower level than in the prior cycle, but we acknowledge upside risks from second- and third-round effects. On current monthly dynamics and base effects, we think headline inflation could drift into the high-3% range by late summer and remain modestly above 3% for a period (Figure 3).

Figure 3: CPI inflation



Data releases and forecasts

Week of June 8-12

Tue Real GDP 2nd estimate

Jun 9	% change	2nd			
8am		2Q25	3Q25	4Q25	1Q26
	%q/q, sa	0.7	1.3	-0.2	<u>1.7</u>
	%q/q, saar	2.7	5.4	-0.6	<u>6.9</u>
	%oya	0.6	1.8	1.6	<u>3.6</u>

Given March's domestic demand data, a slight upward revision to private consumption and investment is feasible in the second 1Q GDP release. However, since production was somewhat lower than the 1Q GDP flash, we believe this may be offset by an adjustment to inventories.

Thu Unemployment rate

Jun 11	% of labor force				
8am		Feb	Mar	Apr	May
	Seasonally adjusted	2.9	2.7	2.8	<u>2.7</u>
	Not seasonally adjusted	3.4	3.0	2.9	<u>2.6</u>

Seasonally adjusted unemployment rate is likely to remain near the levels seen in March-April. Employment is expected

to have increased modestly in May, supported by the effects of fiscal stimulus in the services sector and the continued expansionary signal from the manufacturing PMI employment index.

Review of past week's data

Customs trade (Jun 1)

US\$ bn, nsa

	Mar	Apr	May	
Trade balance	26.8	23.8	<u>23.0</u>	26.9
Exports	87.2	85.9	<u>86.0</u>	87.7
Imports	60.4	62.1	<u>63.0</u>	60.8

See main text.

Purchasing Managers Index

Index, sa

	Mar	Apr	May	
PMI - Manufacturing	52.6	53.6	<u>53.5</u>	54.8

See main text.

Consumer prices (Jun 2)

% change

	Mar	Apr	May	
%oya	2.2	2.6	<u>3.0</u>	3.1
%m/m, nsa	0.3	0.5	<u>0.3</u>	0.5

See main text.

Current account (Jun 5)

US\$ bn, nsa

	Feb	Mar	Apr	
Balance	23.2	<u>37.3</u>	37.9	<u>29.0</u> 28.3

The monthly result was mainly due to April's typical seasonality from dividend payments in the primary income balance. Seasonally adjusted, the monthly decline was milder, with the CA surplus at US\$33.4bn. Given the goods balance reflecting the up-level dynamics from the customs exports, we are revising up our annual CA surplus outlook to 15.2% of GDP, from the previous 10% range, for this year.

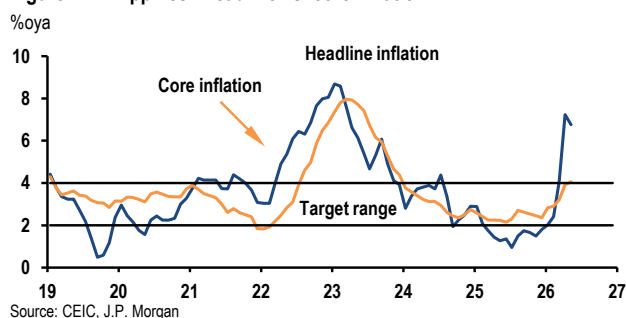
Sources: BoK, NSO, Markit, Customs office, and J.P. Morgan forecasts.

ASEAN

- **Disinflation in the Philippines and Thailand in May was likely temporary**
- **We still expect a 50bp BSP hike but for the BOT to stay on hold this month**
- **May CPI rose in Indonesia, supporting our forecast for a 25bp BI hike in June, amid rising FX pressure**
- **Indonesia's trade surplus fell to a six-year low in April. We expect the largest CAD since 2019 in 2026**
- **The release of Indonesia's gross FX reserve data next Monday will be important to watch**

Headline inflation fell in the Philippines and Thailand in May, in line with our expectations, but undershot consensus forecasts. However, we view the decline as temporary. By contrast, headline inflation rose and surprised to the upside in Indonesia. In terms of monetary policy, we no longer see the risk of an off-cycle hike by the BSP, but still expect the BSP to hike by another 50bp this month, followed by another 100bp taking the policy rate to 6.0% in 2026. We expect BI to deliver back-to-back 25bp hikes in June and July to 5.75%, but see a risk of a larger hike amid rising FX pressures. We maintain our forecast that the BOT will leave its policy rate unchanged at 1.0% in 2026-27. However, we continue to see a risk of a hike of around 50bp, starting in 1Q27.

Figure 1: Philippines - headline vs. core inflation



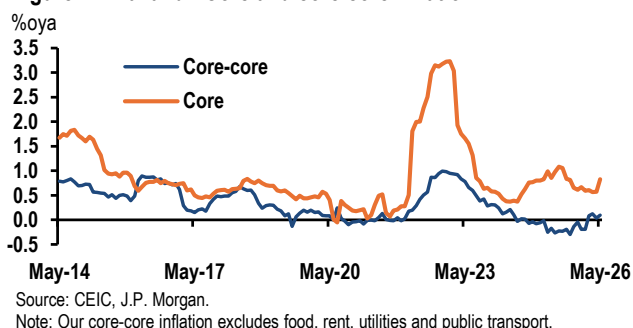
ASEAN: A mixed bag of CPI prints

Philippines May headline CPI softened to 6.8%oya from 7.2% in April (Figure 1), owing to the rollback in transport fuel prices (especially diesel) and increased administrative price controls. Core inflation still increased to 4.1%oya from 3.8%, exceeding the 2-4% target range, showing that second round effects from the energy price shock persist. We still expect headline inflation to resume its upward trajectory, hitting a peak of 8%oya by year-end. We maintain our call for a 50bp hike this month on the view that the BSP remains committed to anchoring inflation expectations by front-loading the tightening, but the risk is of a 25bp hike if a more data-de-

pendent approach is preferred.

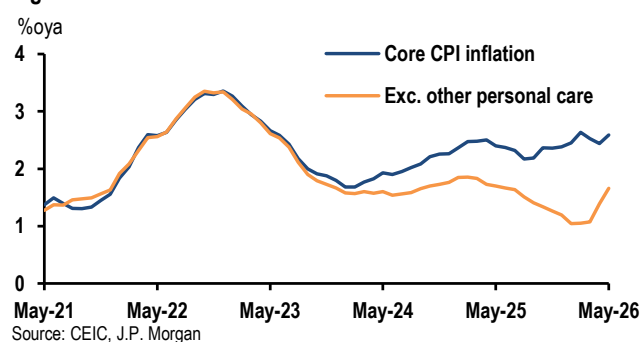
In Thailand, [headline inflation](#) eased to 2.8% oya in May from 2.9% in April, owing to the decline in both raw food and energy price inflation. Core inflation edged up to 0.9%oya from 0.8%. Excluding the energy, food and rent components, our core-core measure remains subdued at 0.1%oya up from 0.0%, but still indicating no signs of demand-pull inflationary pressures (Figure 2). We lower our 2026 headline inflation forecast to 2.4% from 2.7% (BOT: 2.9%) and core inflation to 1.2% from 1.4% for 2027 (BOT: 1.6%). We expect the BOT to stay on-hold in 2026-27 but continue to see a risk of a hike of around 50bp, with the first hike potentially delivered in 1Q27 (instead of 4Q26 previously).

Figure 2: Thailand - Core and core-core inflation



In Indonesia, headline inflation rose to 3.1%oya in May from 2.4% in April, on rising food inflation. [Core inflation](#) also increased to 2.6%oya from 2.4% on food services inflation. Excluding other personal care inflation (i.e., gold jewelry), core inflation rose further to 1.7%oya from 1.4%, suggesting some broadening in demand-side pressures (Figure 3). All these factors support our forecast for a 25bp BI hike in June, followed by another 25bp in July. Given the FX concerns, we see a rising risk of a back-to-back 50bp hike in June. We maintain our headline inflation forecasts of 3.4% for 2026 and 2.5% for 2027.

Figure 3: Indonesia - Core CPI inflation

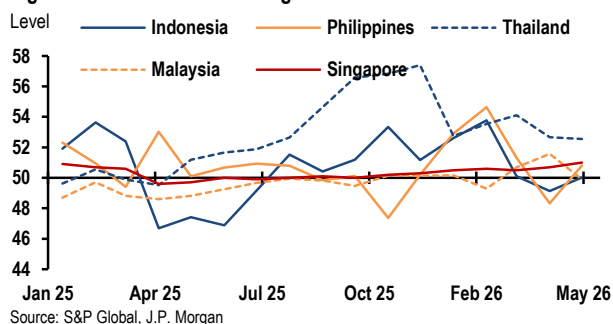


ASEAN: A near-term reprieve from PMI

Manufacturing PMIs broadly improved in May and were above 50, the expansion threshold, in all ASEAN5 countries except Malaysia (Figure 4). This further provides evidence that the impact on growth from the energy supply shocks has been broadly contained, helped by successful diversification efforts in securing alternative sources of fuel supplies.

The rebound was particularly noticeable in the Philippines and Indonesia, which we had identified as more vulnerable. However, we maintain our cautious view on growth in the two countries, where we expect further hikes to be implemented, adding to pre-existing domestic vulnerabilities.

Figure 4: ASEAN manufacturing PMI - headline

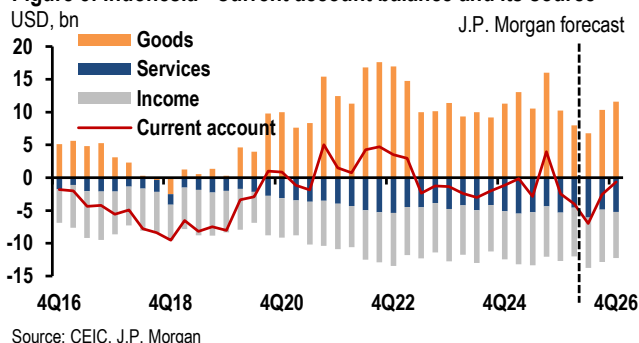


Indonesia: Weakening external balance

The [goods trade surplus](#) narrowed sharply to USD0.1bn in April, the lowest since April 2020, from USD3.3bn in March. The deterioration was driven mainly by a surge in mineral fuel imports, reflecting both higher prices and volumes, helped by diversification efforts amid concerns about limited energy supply.

We maintain our 2026 current account deficit (CAD) forecast at 1.0% of GDP, deteriorating from 0.1% in 2025 and the largest since 2019. This reflects our cautious view on the energy shock and its impact on the goods trade balance. In terms of the trajectory, we pencil in a further widening in the CAD to USD7.0n in 2Q26 (1Q26: USD4.0bn), which would be the largest since 4Q19 (Figure 5). This is likely to add to the existing concerns around the IDR.

Figure 5: Indonesia - Current account balance and its source

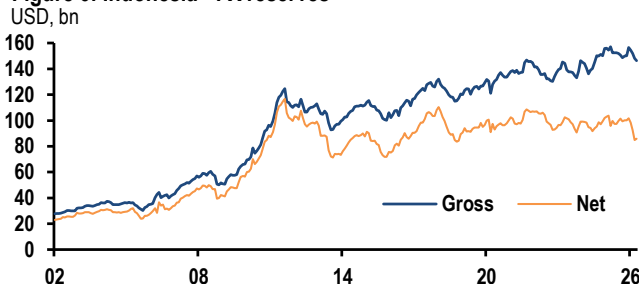


Indonesia: FX reserves in focus

Despite the [50bp hike](#) in May and the [all-out FX stabilization approach](#), the USDIDR has depreciated further and overshot the 18,000 level on June 4. This means the net FX reserve data will be important to watch, as a further decline could add to rising FX pressure. Owing to a fall in short-term foreign currency denominated liabilities in April, net FX reserves have risen to USD85.8bn, instead of falling further, but only slightly from USD84.9bn in March (Figure 6).

We reiterate our below-consensus 2026 GDP growth forecast at 4.7% (Consensus: 5.0%), reflecting our cautious view on the tightening fiscal policy stance as spending is redirected to sustain fuel price subsidies, and the FX risks which also necessitate the BI's hiking cycle, as highlighted above.

Figure 6: Indonesia - FX reserves



Indonesia

Data releases and forecasts

Week of Jun 8-12

No data releases.

Review of past week's data

Consumer prices

% change

	Mar	Apr	May	
All items, %oya	3.5	2.4	2.7	3.1
%m/m, sa	0.1	0.1	-0.0	0.3

Merchandise trade

US\$ bn, nsa

	Feb	Mar	Apr	
Trade balance	1.3	3.3	4.4	0.1
Exports, %oya	1.0	-3.1	3.2	22.0
Imports, %oya	10.8	1.5	-2.7	22.5

Malaysia

Data releases and forecasts

Week of Jun 8-12

No data releases.

Review of past week's data

No data released.

Philippines

Data releases and forecasts

Week of Jun 8-12

No data releases.

Review of past week's data

Consumer prices

% change

	Mar	Apr	May	
All items, %oya	4.1	7.2	6.8	6.8
%m/m, sa	1.5	2.9	-0.4	-0.4

Singapore

Data releases and forecasts

Week of Jun 8-12

No data releases.

Review of past week's data

Purchasing managers index

Index

	Mar	Apr	May	
PMI	50.5	50.7	50.9	51.0
PMI—electronics	51.4	51.7	52.0	51.9

Thailand

Data releases and forecasts

Week of Jun 8-12

No data releases.

Review of past week's data

Consumer prices

% change

	Mar	Apr	May	
All items, %oya	-0.1	2.9	2.7	2.8
%m/m, sa	0.7	2.3	-0.4	-0.1

Sources: Central Bureau of Statistics, Indonesia; Department of Statistics, Malaysia Coordination Board and National Statistics Office, Philippines, Singapore Statistics Department, Office for Industrial Economics, Thailand; Bank of Thailand; J.P. Morgan forecasts

India

- **RBI keeps rates on hold, but announces several measures to attract capital inflows**
- **1Q26 GDP growth print at a strong 7.8%oya**
- **Next week: May CPI at 4%oya, led by higher fuel and food prices; all eyes on core momentum**
- **April IP surprised to the upside, at 4.9%**

RBI holds rates, boosts capital inflows

The RBI kept policy rates on hold, as we had expected, defying market pricing that had priced in a 60% chance of a 25 bp hike. With the rupee under pressure, it simultaneously announced several measures to attract capital inflows—consistent with India’s inflation-targeting “separability” framework, where policy rates and liquidity are used to manage domestic inflation and growth dynamics, while FX intervention and regulatory tools are used to address external-sector issues. The focus on capital inflows also reflects the view we [have espoused](#) that current Rupee pressures are being driven more by the capital account than the current account, making capital inflow-supporting measures the more appropriate response to rate hikes.

Even as the RBI kept rates on hold, it predictably marked down its 2026-27 growth forecast and marked up its inflation forecast, given the adverse supply shocks confronting the economy. GDP growth was marked down from 6.9% oya to 6.6%, and CPI inflation was marked up from 4.6% to 5.1%, in line with our current forecast (J.P. Morgan: 5.1%). Our call that the RBI would be on hold was predicated on:

- Headline inflation forecasts, averaging 5% in FY27, and therefore remaining well within the inflation-targeting band; and
- Core inflation (correctly measured) remaining benign and averaging just 2.2% at the moment.

Given that inflation is being hit by adverse supply shocks, our expectation was and is that the RBI will be inclined to look through the supply shocks unless one, or both, of the aforementioned criteria is violated: Headline CPI hovers close to the upper band of the inflation targeting band on a sustained basis and/or inflation gets more entrenched and generalized and spills into core. The RBI statement appeared to echo these principles, noting, “...excluding precious metals, core inflation remained much lower, at 2.1-2.2 per cent...underlying inflation pressures remain benign at this juncture.” However, it cautioned that “...generalization of inflation through second-round effects on expectations and wages is a distinct possibility, warranting a close vigil. The outlook also remains clouded by the sub-normal south-west monsoon forecast and

El Niño risks.”

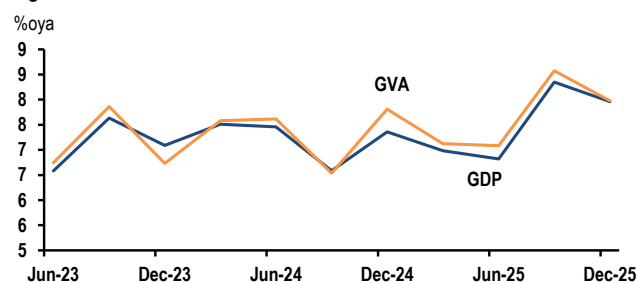
Benign core inflation in India for the last two years suggests limited pricing power for firms. That said, input costs are likely to rise discernibly. The extent to which firms will be able to pass this on remains the key known unknown. Similarly, El Niño risks have risen sharply, but given ample buffer stocks, the extent to which this translates into higher food inflation and inflation expectations remains an open question. The RBI forecasts core inflation at 4.7% for 2026-27. If gold and silver prices do not change, this would imply that underlying core (core ex-precious) will average 3.8%, although it is likely to be higher in the second half of the year. Therefore, we remain comfortable for now with our view that the RBI will remain on hold, barring the aforementioned risks materializing in the data.

Separately, the RBI unveiled several capital account initiatives: concessional FX swap windows to incentivize Public Sector Undertaking (PSU) to undertake External Commercial Borrowings and for banks to raise fresh three- to five-year FCNR(B) deposits; an expansion of FAR-eligible long-dated government securities and removal of certain FPI limits under the General Route, higher equity investment limits for NRIs/OCIs and parity access for other overseas individuals, and a restoration of the export proceeds realization timeline to nine months.

GDP growth resilient in 2Q

1Q GDP growth surprised to the upside, at 7.8%oya (J.P. Morgan: 7.5%; consensus: 7.3%), easing slightly from 8.0% in 4Q25 (Figure 1). This outcome reinforces the view that the cyclical recovery has been under way since late 2025, supported by direct and indirect tax cuts, monetary and regulatory easing, and lower inflation. Growth was broad-based, with most sectors posting solid expansion, except manufacturing.

Figure 1: Real GDP



Source: MoSPI, J.P. Morgan

Our 2Q GDP forecast incorporated both the terms-of-trade shock due to higher oil prices and the risk of shortages from a lack of energy availability. However, the latter risk has not

06 June 2026

materialized in scale: There have been no broad-based shortages, and after inventories were drawn down in March and April, oil imports (proxied by oil tanker traffic) appear to have normalized in May. Therefore, the slowdown in 2Q is likely to be less pronounced than previously envisaged. We now forecast 2Q GDP growth at 6.4%oya and FY27 GDP growth at 6.3%oya.

US proposes 12.5% tariffs under Sec 301

The Office of the United States Trade Representative (USTR) has launched several Section 301 investigations under the “unreasonable or discriminatory practices” authority. Two investigations include India:

- Forced-labour probe (which applies to 60 economies): Examined whether foreign governments failed to legally prohibit—or adequately enforce prohibitions against—the importation of goods made with forced labour, creating an unfair cost advantage.
- Excess-capacity probe (which applies to 16 economies): Examined whether state subsidies, economic interventions, and related policies contributed to “structural excess” in core manufacturing sectors, including textiles, automobiles, construction goods, petrochemicals, and steel etc.

This week, under the forced-labour probe, the USTR found that the 60 economies had not adequately policed imports made with forced labour and proposed additional duties of 10%–12.5%. The proposed duty for India is 12.5%. The proposed tariffs are not yet final. Stakeholders may submit requests to participate in public hearings by 22 June 2026, with the hearing window running through 6 July 2026. Public hearings are scheduled for 7 July 2026. The USTR will review comments and testimony before making a final determination on the proposed measures.

If the Section 301 tariffs are implemented around the time the Section 122 tariffs expire (24th July), India could effectively see the 10% universal tariff replaced by a 12.5% tariff. This would raise the effective tariff rate from 10.4% to 12.1%, with additional upside risk if the parallel excess-capacity investigation results in further duties.

New Delhi is pursuing a dual-track response: contesting the Section 301 proceedings on their merits while simultaneously advancing the U.S.–India Bilateral Trade Agreement (BTA) framework announced in February.

Data releases and forecasts

Week of June 8-12

Fri 12-Jun	Consumer prices				
	% oya	Feb	Mar	Apr	May
	CPI	3.2	3.4	3.5	<u>4.0</u>
	Core-Core	2.1	2.1	2.2	<u>2.3</u>

Rising vegetable prices, May fuel price hikes, and a modest uptick in core-core inflation—driven by higher input costs—are likely to add to near-term price pressures and push headline inflation higher in the coming months. We expect May CPI inflation to rise 0.6% m/m, sa driven by food and fuel prices. Core prices would also be closely tracked to see if the cost pressures are becoming generalised.

Review of past week's data

GDP				
%	2Q25	3Q25	4Q25	1Q26
% oya	6.7	8.4	7.8	7.5

See main text.

Repo rate				
%	Dec	Feb	Apr	Jun
Repo rate	5.25	5.25	5.25	5.25

See main text.

Industrial Production (Jun 1)				
% oya	Jan	Feb	Mar	Apr
% oya	4.4	5.2	3.2	4.9

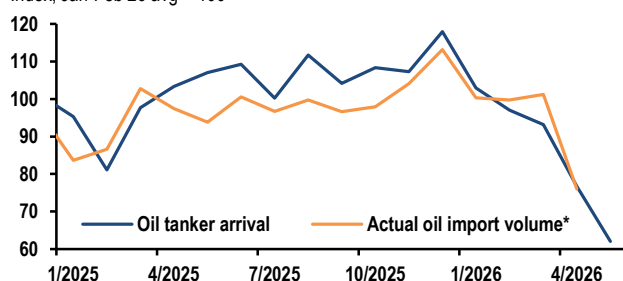
Industrial production (IP) under the new series (base year shifted from 2011–12 to 2022–23) surprised to the upside in April, rising to 4.9%oya (J.P. Morgan: 4.0%oya; consensus: 3.9%oya) from 3.2%oya in March. The revised IP series generally had higher growth than the old series. In April, IP momentum rose 0.5% m/m (sa) after three months of 0.1% gains. Within sectors, manufacturing was soft, which could signal emerging headwinds (including spillovers from the Middle East conflict). Capital goods momentum remains strong.

Sources: MoSPI, J.P. Morgan

Asia Focus: Oil shock and China's substitution effects

China's oil imports have declined significantly after the Middle East conflict (Figure 1), with China's April industrial production along the oil and chemical chain reflecting the drag from oil disruptions. This has made people wonder if China is still resilient in the face of a still fluid Middle East situation.

Figure 1: China's oil imports
Index, Jan-Feb 26 avg = 100



First, the decline in crude imports may be less disruptive than the headline number implies. Since 2025, China has built up its oil reserves by importing ~10% higher (~1mbpd) than its normal consumption level, making the pre-conflict benchmark inflated by stockpiling needs.

That said, China has still reduced crude throughput, as seen in the drop in refiners' run rates for cost considerations. Refiners' margins have turned negative due to state price controls on oil products, leaving refiners little incentive to keep operations running at a high utilization level and making losses (Figure 2). While this has reduced refined product output, the downstream effects appear to have been limited so far. In chemicals, higher oil prices have made the coal-to-chemical route more cost-competitive. Coke oven operating rates have picked up (Figure 2), providing an alternative to oil-based chemical feedstocks, at least partially. Potential drawdowns of commercial inventories across different layers of the extended petrochemical supply chain also help cushion disruptions, reducing the risk of a larger, more immediate shock.

The substitution effect is most visible in transport, which accounts for roughly half of oil product uses. Data shows that while gasoline consumption declined amid higher costs of refueling, [daily vehicle on road](#) has not declined, and was even higher than pre-conflict levels. Explaining this contrast is the higher EV utilization in the on-road fleet. Electricity consumption at EV charging stations jumped 69%oya in April, vs. 55% in Jan-Feb (Figure 3), and ride-sharing orders (mostly run by EVs) spiked 27% in April. For longer-distance travel, although domestic flight activity underperformed the

previous average in April and May, rail traffic (largely electrified) appears to have taken part of the demand diverted from air travel (Figure 4).

Figure 2: China's oil and coal production

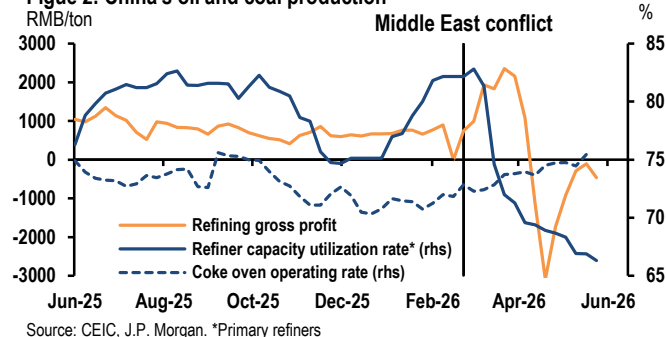


Figure 3: China's automobile power demand

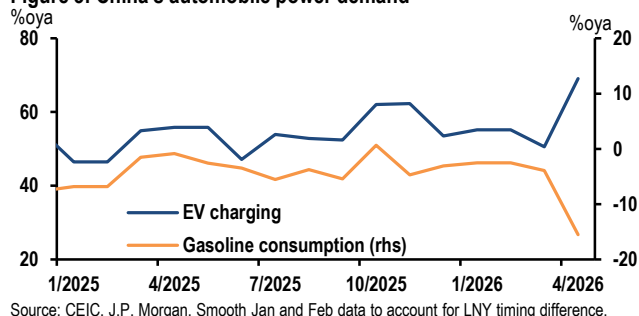
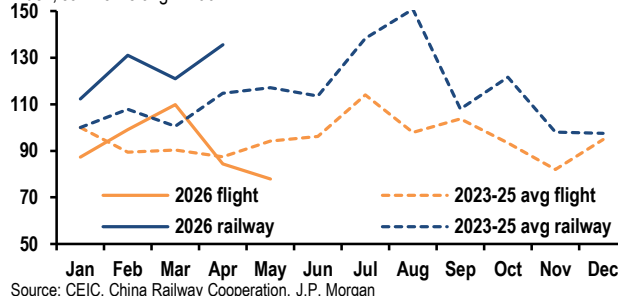


Figure 4: China domestic flight and railway traffic
Index, Jan 23-25 avg = 100



With domestic demand already soft and 2Q growth risks now tilted to the downside, we think the sharp pullback in crude imports likely overstates the incremental, war-related hit to demand: with fiscal support being scaled back, substitution effects and inventory drawdowns have helped cushion part of the impact. In effect, an economic optimization is underway: a rational reduction in operating rates alongside a shift in demand toward more cost-efficient modes. Given China's outsized role in the global oil market, a return to more "normal" import levels could tighten the regional supply-demand balance and generate spillover effects on pricing and flows—a dynamic worth monitoring closely.

Japan economic calendar

Monday	Tuesday	Wednesday	Thursday	Friday
8 Jun GDP 2nd (8:50am) 1Q 1.2 %q/q, saar Bank lending (8:50am) May Current account (8:50am) Apr 3,542 billion yen Economy watchers survey (2:00pm) May 41.3	9 Jun M2 (8:50am) May Auction 6-month bill	10 Jun Corporate goods prices (8:50am) May 5.3 %oya Auction 30-year note	11 Jun Business outlook survey (8:50am) 2Q	12 Jun IP final (1:30pm) Apr Auction 3-month bill
15 Jun Tertiary sector activity index (1:30pm) Apr BoJ Monetary Policy Meeting	16 Jun BoJ Monetary Policy Meeting BoJ Governor Ueda's press conference (3:30pm)	17 Jun Reuters Tankan (8:00am) Jun Trade balance (8:50am) May Private machinery orders (8:50am) Apr	18 Jun Real exports and imports (2:00pm) May Auction 1-year note	19 Jun Nationwide core CPI (8:30am) May Minutes of Apr 27-28 BoJ Monetary Policy Meeting (8:50am) Auction 3-month bill
During the week: Nationwide department store sales (16-22 Jun)				
22 Jun	23 Jun PMI manufacturing prelim (9:30am) Jun PMI services prelim (9:30am) Jun Auction 5-year note	24 Jun Corporate service prices (8:50am) May Summary of Opinions of Jun 15, 16 BoJ Monetary Policy Meeting (8:50am)	25 Jun Coincident CI final (2:00pm) Apr Speech by Board Member TAMURA at a meeting with local leaders in Hyogo (10:00am) Auction 20-year note	26 Jun Tokyo core CPI (8:30am) Jun Auction 3-month bill
29 Jun Total retail sales (8:50am) May	30 Jun Job offers to applicants ratio (8:30am) May Unemployment rate (8:30am) May IP prelim (8:50am) May Housing starts (2:00pm) May Auction 2-year note	1 Jul BoJ Tankan (8:50am) 2Q Consumer sentiment (2:00pm) Jun PMI manufacturing final (9:30am) Jun	2 Jul Auction 10-year note	3 Jul PMI services final (9:30am) Jun Auction 3-month bill

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Non-Japan Asia economic calendar

Monday	Tuesday	Wednesday	Thursday	Friday
8 Jun	9 Jun New Zealand Manufacturing output (10:45am) 1Q South Korea GDP prelim (8:00am) 1Q 3.6%oya Australia NAB business confidence (11:30am) May Taiwan Trade balance (4:00pm) May US \$17.2bn China Trade balance May US\$92.0bn	10 Jun China PPI (9:30am) May 3.8%oya CPI (9:30am) May 1.3%oya	11 Jun South Korea Unemployment rate (8:00am) May 2.7%, sa	12 Jun New Zealand Business NZ PMI (10:30am) May India CPI (4:00pm) May 4.0%oya <i>Holiday: Philippines</i>
During the week: China Money supply/TSF May (9-15 Jun) M2 8.7%oya				
15 Jun India WPI (12:00pm) May Trade balance May	16 Jun South Korea Export price index (6:00am) May Import price index (6:00am) May Money supply (12:00pm) Apr China IP (10:00am) May FAI (10:00am) May Retail sales (10:00am) May Australia RBA official rate announcement Hong Kong SAR Unemployment rate (4:30pm) May <i>Holiday: Indonesia</i>	17 Jun New Zealand Current account balance (10:45am) 1Q Singapore NODX (8:30am) May <i>Holiday: Malaysia</i>	18 Jun New Zealand GDP (10:45am) 1Q Philippines BSP monetary policy meeting Indonesia BI monetary policy meeting Taiwan CBC monetary policy meeting	19 Jun South Korea PPI (6:00am) May New Zealand Trade balance (10:45am) May Malaysia CPI (12:00pm) May Trade balance (12:00pm) May <i>Holiday: China, Hong Kong, Taiwan</i>
During the week: Thailand Trade balance May (21-26 Jun)				
22 Jun	23 Jun South Korea Consumer survey (6:00am) Jun Singapore CPI (1:00pm) May India PMI mfg. prelim (10:30am) Jun Taiwan Export orders (4:00pm) May Unemployment rate (4:00pm) May Hong Kong CPI (4:30pm) May	24 Jun Thailand BOT monetary policy meeting Taiwan IP (4:00pm) May	25 Jun Australia Unemployment rate (11:30am) May Hong Kong Trade balance (4:30pm) May	26 Jun Singapore IP (1:00pm) May <i>Holiday: India</i>
During the week: Thailand Mfg. Production May (27-29 Jun)				
29 Jun India IP (4:00pm) May	30 Jun South Korea IP (8:00am) May Philippines Trade balance (9:00am) May New Zealand NBZ business confidence (1:00pm) Jun Australia Pvt. sector credit (11:30am) May China PMI mfg. (NBS) (9:30am) Jun Thailand PCI (2:30pm) May PII (2:30pm) May	1 Jul South Korea Trade balance (9:00am) Jun PMI mfg. (9:30am) Jun Taiwan PMI mfg. (8:30am) Jun China PMI Mfg. (9:45am) Jun Indonesia Trade balance (11:00am) May CPI (11:00am) Jun India PMI mfg. (10:30am) <i>Holiday: Hong Kong</i>	2 Jul New Zealand Building permits (10:45am) Jun South Korea CPI (8:00am) Jun Australia Trade balance (11:30am) May Hong Kong Retail sales (4:30pm) May Singapore PMI (9:00pm) Jun	3 Jul Vietnam Exports (9:05am) Industrial output (9:05am) CPI (9:05am)

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